



Aitken Spence Hotel Holdings PLC

Interim Financial Statement - 2nd Quarter

(For the Six months ended 30th September 2019)

Consolidated Income Statement

	Quarter ended 30th September		Six months ended 30th September	
For the six months ended 30th September	2019 Rs.' 000	2018 Rs.' 000	2019 Rs.' 000	2018 Rs.' 000
Revenue	3,682,660	4,135,862	7,290,432	7,777,586
Revenue Tax	(103,493)	(116,847)	(203,831)	(217,221)
Net Revenue	3,579,167	4,019,015	7,086,601	7,560,365
Other income	129,402	35,137	154,156	(20,871)
Staff Costs	(834,724)	(834,566)	(1,709,129)	(1,657,834)
Depreciation	(447,286)	(431,088)	(891,065)	(856,121)
Amortisation	(176,013)	(30,462)	(332,761)	(59,678)
Other Operating Expenses - Direct	(857,697)	(933,474)	(1,668,352)	(1,764,670)
Other Operating Expenses - Indirect	(1,459,245)	(1,668,960)	(2,786,547)	(3,169,574)
Profit / (Loss) from Operations	(66,396)	155,602	(147,097)	31,617
Finance Income	42,586	62,191	110,670	130,250
Finance Expenses	(336,529)	(228,470)	(662,682)	(453,243)
Net Finance Income / (Expenses)	(293,943)	(166,279)	(552,012)	(322,993)
	(360,339)	(10,677)	(699,109)	(291,376)
Share of Loss of equity accounted investees net of tax	(86,851)	(28,235)	(178,480)	(87,794)
Profit / (Loss) before Tax	(447,190)	(38,912)	(877,589)	(379,170)
Income Tax Expense	(90,428)	(150,537)	(228,029)	(220,620)
Profit / (Loss) for the period	(537,618)	(189,449)	(1,105,618)	(599,790)
Attributable to:				
Equity Holders of the Parent Company	(396,697)	(9,867)	(834,124)	(280,133)
Non - controlling interests	(140,921)	(179,582)	(271,494)	(319,657)
	(537,618)	(189,449)	(1,105,618)	(599,790)
Earnings per share for the period - Rs. (Basic / Diluted)	(1.19)	(0.04)	(2.50)	(1.66)

The above figure are provisional and subject to Audit.

Colombo
13th November 2019

Company Income Statement

	Quarter ended 30th September		Six months ended 30th September	
	2019 Rs.' 000	2018 Rs.' 000	2019 Rs.' 000	2018 Rs.' 000
Revenue	119,035	180,826	230,010	315,410
Revenue Tax	(2,663)	(3,891)	(5,111)	(6,886)
Net Revenue	116,372	176,935	224,899	308,524
Other income	30,219	124,825	463,618	130,331
Staff Costs	(41,908)	(49,405)	(89,881)	(96,675)
Depreciation	(15,215)	(15,142)	(29,763)	(28,853)
Amortisation	(631)	(229)	(1,089)	(424)
Other Operating Expenses - Direct	(42,488)	(52,499)	(74,564)	(93,728)
Other Operating Expenses - Indirect	(79,267)	(76,742)	(139,595)	(143,396)
Profit / (Loss) from Operations	(32,918)	107,743	353,625	75,779
Finance Income	21,220	23,038	50,290	57,568
Finance Expenses	(29,072)	(41,198)	(61,765)	(85,816)
Net Finance Income / (Expenses)	(7,852)	(18,160)	(11,475)	(28,248)
Profit / (Loss) before Tax	(40,770)	89,583	342,150	47,531
Income Tax (Expense)	(13,257)	(25,933)	(13,257)	(25,061)
Profit / (Loss) for the period	(54,027)	63,650	328,893	22,470
Earnings per share for the period - Rs. (Basic / Diluted)	(0.17)	0.18	0.96	0.04

The above figure are provisional and subject to Audit.

Colombo

13th November 2019

Consolidated Statement of Comprehensive Income

	Quarter ended 30th September		Six months ended 30th September	
For the six months ended 30th September	2019	2018	2019	2018
	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000
Profit / (Loss) for the period	(537,618)	(189,449)	(1,105,618)	(599,790)
Other Comprehensive Income				
Items that will never be reclassified to profit or loss				
Revaluation of property, plant and equipment	-	-	-	-
Share of other comprehensive income of equity accounted investees	-	-	-	-
Actuarial gains/ (losses) on defined benefit obligations	-	-	-	-
Income tax on other comprehensive income	-	-	-	-
	-	-	-	-
Items that are or may be reclassified to profit or Loss				
Foreign Currency translation differences of foreign operations	396,704	766,597	440,242	932,267
Net movement on cash flow hedging	94,274	(335,063)	9,590	(55,254)
	490,978	431,534	449,832	877,013
Other comprehensive income for the period net of tax	490,978	431,534	449,832	877,013
Total comprehensive income for the period net of tax	(46,640)	242,085	(655,786)	277,223
Attributable to:				
Equity Holders of the Parent Company	(227,765)	139,817	(552,255)	142,184
Non-controlling interests	181,125	102,268	(103,531)	135,039
	(46,640)	242,085	(655,786)	277,223

The above figure are provisional and subject to Audit.

Statement of Comprehensive Income - Company

For the six months ended 30th September	Quarter ended 30th September		Six months ended 30th September	
	2019 Rs.' 000	2018 Rs.' 000	2019 Rs.' 000	2018 Rs.' 000
Profit / (Loss) for the period	(54,027)	63,650	328,893	22,470
Other Comprehensive Income				
Items that will never be reclassified to profit or loss				
Revaluation of property, plant and equipment	-	-	-	-
Actuarial gains/ (losses) on defined benefit obligations	-	-	-	-
Income tax on other comprehensive income	-	-	-	-
	-	-	-	-
Items that are or may be reclassified to profit or Loss				
Foreign Currency translation differences of foreign operations	-	-	-	-
Net change in fair value of available for sale financial assets	-	-	-	-
	-	-	-	-
Other comprehensive income for the period net of tax	-	-	-	-
Total comprehensive income for the period net of tax	(54,027)	63,650	328,893	22,470
Attributable to:				
Equity Holders of the Parent Company	(54,027)	63,650	328,893	22,470
Non-controlling interests	-	-	-	-
	(54,027)	63,650	328,893	22,470

The above figure are provisional and subject to Audit.

Consolidated Statement of Financial Position

As at

	30.09.2019 Rs.' 000	30.09.2018 Rs.' 000	31.03.2019 Rs.' 000
ASSETS			
Non Current Assets			
Property, plant and equipment	51,697,845	45,236,438	49,918,218
Right-of-use assets	11,067,510	-	-
Leasehold properties	-	2,160,736	2,214,518
Prepaid operating leases	-	1,884,069	1,924,329
Intangible assets	493,923	455,299	472,879
Investment in equity accounted investees	1,063,732	1,070,787	1,249,902
Other financial assets	792,263	779,507	778,986
Deferred tax assets	169,793	160,017	160,942
	65,285,066	51,746,853	56,719,774
Current Assets			
Inventories	619,283	465,987	552,878
Trade and other receivables	1,617,709	1,154,127	2,094,744
Amount due from holding company	389,851	987,421	1,150,073
Amount due from parent's group entities	284,016	456,108	303,397
Deposits and prepayments	900,967	793,788	764,124
Prepaid operating leases	-	71,870	74,969
Current tax receivable	48,221	38,875	36,537
Other financial assets	23,820	452,553	53,108
Cash and cash equivalents	1,720,206	1,746,925	3,152,780
	5,604,073	6,167,654	8,182,610
Assets classified as held for sale	981,353	-	-
TOTAL ASSETS	71,870,492	57,914,507	64,902,384
EQUITY AND LIABILITIES			
Equity Attributable to equity holders of the Parent			
Stated capital	3,554,587	3,554,587	3,554,587
Reserves	5,294,924	4,217,345	4,997,135
Retained earnings	11,254,741	11,706,254	12,787,099
	20,104,252	19,478,186	21,338,821
Non Controlling Interests	8,451,767	8,246,808	9,256,614
Total Equity	28,556,019	27,724,994	30,595,435
Non Current Liabilities			
Interest - bearing Liabilities	33,380,256	20,868,356	23,405,292
Deferred tax liabilities	1,028,449	747,613	953,790
Other Liabilities	-	1,102,857	1,302,017
Employee benefits	222,921	216,441	206,750
	34,631,626	22,935,267	25,867,849
Current Liabilities			
Trade payables	895,271	628,235	923,504
Other provisions and payables	3,174,830	2,305,637	2,977,093
Amount due to holding company	159,026	229,836	110,020
Amount due to parent's group entities	97,001	52,332	56,051
Interest bearing Liabilities	2,034,753	1,617,880	2,075,035
Current tax payable	44,335	93,109	188,426
Short term bank borrowings	2,277,631	2,327,217	2,108,971
	8,682,847	7,254,246	8,439,100
Total Liabilities	43,314,473	30,189,513	34,306,949
TOTAL EQUITY AND LIABILITIES	71,870,492	57,914,507	64,902,384
Net Asset value per share (Rs.)	59.29	57.43	62.96

The above figure are provisional and subject to Audit.

The Chief Financial Officer certifies that the Financial Statements have been prepared in compliance with the requirement of the Companies Act No. 07 of 2007.



Deshamanya D.H.S Jayawardena
Chairman



Dr. M.P Dissanayake
Managing Director



D.G.P Ekanayake
Assistant Vice President - Finance

Colombo
13th November 2019

Company Statement of Financial Position

As at

	30.09.2019 Rs.' 000	30.09.2018 Rs.' 000	31.03.2019 Rs.' 000
ASSETS			
Non Current Assets			
Property, plant and equipment	1,610,720	1,611,910	1,602,490
Intangible assets	4,354	2,151	3,061
Investments in subsidiaries	8,141,540	7,531,000	7,704,201
Investment in equity accounted investees	1,282,873	1,094,994	1,282,873
Other financial assets	640,889	676,146	632,311
	11,680,376	10,916,201	11,224,936
Current Assets			
Inventories	20,766	27,221	20,287
Trade and other receivables	66,930	67,938	161,267
Amount due from holding company	-	62,044	312,619
Amount due from parent's group entities	56,662	325,618	111,589
Deposits and prepayments	47,934	16,306	25,645
Current tax receivable	13,405	3,734	12,190
Other financial assets	21,225	25,450	39,975
Cash and cash equivalents	59,945	163,976	456,931
	286,867	692,287	1,140,503
TOTAL ASSETS	11,967,243	11,608,488	12,365,439
EQUITY AND LIABILITIES			
Equity Attributable to equity holders of the parent			
Stated Capital	3,554,587	3,554,587	3,554,587
Reserves	705,961	705,961	705,961
Retained earnings	6,307,017	5,503,583	6,329,264
Total Equity	10,567,565	9,764,131	10,589,812
Non Current Liabilities			
Interest - bearing Liabilities	557,800	533,800	400,600
Deferred tax liabilities	63,041	71,210	49,783
Employee benefits	37,206	38,508	35,472
	658,047	643,518	485,855
Current Liabilities			
Trade creditors	33,982	22,449	29,165
Other Provisions and payables	79,683	84,963	143,309
Amount due to holding company	43,483	37,592	24,149
Amount due to parent's group entities	478,912	745,679	783,146
Interest bearing Liabilities	93,797	282,317	279,630
Current tax payable	-	-	-
Short term bank borrowings	11,774	27,839	30,373
	741,631	1,200,839	1,289,772
Total Liabilities	1,399,678	1,844,357	1,775,627
TOTAL EQUITY AND LIABILITIES	11,967,243	11,608,488	12,365,439
Net Asset value per share (Rs.)	30.93	28.54	31.00

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The Chief Financial Officer certifies that the Financial Statements have been prepared in compliance with the requirement of the Companies Act No. 07 of 2007.



Deshamanya D.H.S Jayawardena
Chairman



Dr. M.P Dissanayake
Managing Director



D.G.P Ekanayake
Assistant Vice President - Finance

Colombo
13th November 2019

Statement of Changes in Equity

For the six months ended 30th September

GROUP

	Attributable to Equity Holders of the parent							Total	Non Controlling Interest	Total Equity
	Stated Capital	Reserves	Foreign Currency Translation Reserve	Available for Sale Reserve	Cashflow hedge Reserve	Revaluation Reserve	Retained Earnings			
	Rs '000	Rs '000	Rs '000	Rs '000	Rs '000	Rs '000	Rs '000	Rs '000	Rs '000	Rs '000
Balance as at 01st April 2018	3,554,587	22,929	1,946,932	–	(576,239)	2,401,406	12,421,600	19,771,215	8,122,788	27,894,003
Profit / (Loss) for the period	–	–	–	–	–	–	(280,133)	(280,133)	(319,657)	(599,790)
Other comprehensive income	–	–	455,469	–	(33,152)	–	–	422,317	454,696	877,013
Total Comprehensive Income	–	–	455,469	–	(33,152)	–	(280,133)	142,184	135,039	277,223
Transfers to reserves	–	–	–	–	–	–	–	–	–	–
Dividends -2017/18	–	–	–	–	–	–	(435,213)	(435,213)	(11,019)	(446,232)
Balance as at 30th September 2018	3,554,587	22,929	2,402,401	–	(609,391)	2,401,406	11,706,254	19,478,186	8,246,808	27,724,994
Balance as at 01st April 2019	3,554,587	22,929	3,049,131	–	(626,716)	2,551,791	12,787,099	21,338,821	9,256,614	30,595,435
Less: Impact on adoption of SLFRS 16	–	–	–	–	–	–	(427,362)	(427,362)	(359,636)	(786,998)
Restated balance as at 01st April 2019	3,554,587	22,929	3,049,131	–	(626,716)	2,551,791	12,359,737	20,911,459	8,896,978	29,808,437
Profit / (Loss) for the period	–	–	–	–	–	–	(834,124)	(834,124)	(271,494)	(1,105,618)
Other comprehensive income	–	–	276,115	–	5,754	–	–	281,869	167,963	449,832
Total Comprehensive Income	–	–	276,115	–	5,754	–	(834,124)	(552,255)	(103,531)	(655,786)
Effect of % holding change in subsidiaries	–	–	–	–	–	15,920	80,268	96,188	(96,188)	–
Dividends - 2018/19	–	–	–	–	–	–	(351,140)	(351,140)	(245,492)	(596,632)
Balance as at 30th September 2019	3,554,587	22,929	3,325,246	–	(620,962)	2,567,711	11,254,741	20,104,252	8,451,767	28,556,019

The above figures are provisional and subject to audit.

Statement of Changes in Equity

COMPANY	Stated Capital	Reserves	Revaluation Reserve	Retained Earnings	Total
	Rs '000	Rs '000	Rs '000	Rs '000	Rs '000
Balance as at 01st April 2018	3,554,587	22,929	683,032	5,916,326	10,176,874
Profit / (loss) for the period	—	—	—	22,470	22,470
Other Comprehensive Income	—	—	—	—	—
Total Comprehensive Income	—	—	—	22,470	22,470
Dividends - 2017/18	—	—	—	(435,213)	(435,213)
Balance as at 30th September 2018	3,554,587	22,929	683,032	5,503,583	9,764,131
Balance as at 01st April 2019	3,554,587	22,929	683,032	6,329,264	10,589,812
Profit / (loss) for the period	—	—	—	328,893	328,893
Other Comprehensive Income	—	—	—	—	—
Total Comprehensive Income	—	—	—	328,893	328,893
Dividends - 2018/19	—	—	—	(351,140)	(351,140)
Balance as at 30th September 2019	3,554,587	22,929	683,032	6,307,017	10,567,565

The above figure are provisional and subject to Audit.

Cash Flow Statement

For the six months ended	GROUP		COMPANY	
	30.09.2019 Rs.' 000	30.09.2018 Rs.' 000	30.09.2019 Rs.' 000	30.09.2018 Rs.' 000
Cash flow from operating activities				
Profit before Taxation	(877,589)	(379,170)	342,150	47,531
Adjustments for				
Depreciation	891,065	856,121	29,763	28,853
Amortisation	332,761	59,678	1,089	424
Provision for impairment of debtors	34,556	4,161	1,141	586
Impairment reversal of financial assets	(1,224)	-	(1,224)	-
Interest Expense	662,682	453,243	61,765	85,816
Interest Income	(110,670)	(130,250)	(50,290)	(57,568)
Profit/ (Loss) on sale of Property , Plant and equipment	(29)	(6,340)	-	(84)
Provision for Employee Benefits	25,620	21,484	5,223	4,687
Share of (Profit)/Loss of equity accounted investees net of tax	178,480	87,794	-	-
Operating profit before working capital changes	1,135,652	966,721	389,617	110,245
(Increase) / Decrease in Inventories	(66,405)	(37,450)	(479)	(5,981)
(Increase) / Decrease in Trade and other receivables	442,479	920,231	93,183	118,316
(Increase) / Decrease in Amount due from Holding Company	760,222	476,743	312,631	469,526
(Increase) / Decrease in Amount due from Parents Group Entities	19,381	(87,325)	54,927	(9,167)
(Increase) / Decrease in Deposits and Prepayments	(136,843)	(260,550)	(22,289)	(6,385)
Increase / (Decrease) in Trade Payables	(28,233)	28,006	4,817	(16,374)
Increase / (Decrease) in Provisions and other Payables	197,737	(644,788)	(63,626)	(31,392)
Increase / (Decrease) in Amount due to Holding Company	49,006	(605,149)	19,322	(238,897)
Increase / (Decrease) in Amount due to Parents Group Entities	40,950	(14,387)	(304,234)	32,148
Cash Generated from / (used in) Operations	2,413,946	742,052	483,869	422,039
Interest Paid	(284,495)	(409,641)	(55,798)	(85,816)
Gratuity Paid	(11,997)	(5,279)	(3,489)	(1,341)
Income Tax Paid	(317,996)	(285,565)	(1,215)	(12,842)
Net Cash generated /(used in) operating activities	1,799,458	41,567	423,367	322,040
(Carried Forward to next page)				

Cash Flow Statement

	GROUP		COMPANY	
For the six months ended	30.09.2019	30.09.2018	30.09.2019	30.09.2018
	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000
Net Cash generated from / (used in) from operating activities	1,799,458	41,567	423,367	322,040
(brought forward)				
Cash Flows from Investing Activities				
Proceeds from debt securities	11,396	15,858	11,396	15,858
Investment in equity	-	-	(437,325)	-
Acquisition of Property Plant and Equipment	(2,515,972)	(3,205,013)	(37,993)	(28,039)
Purchase of Intangible Assets	(12,815)	(9,954)	(2,382)	(1,070)
Proceeds from sale of Property, Plant & equipment	29	10,761	-	3,609
Proceeds / (Purchase) of term deposits	10,538	74,918	-	-
Interest received from deposits	110,670	99,761	50,290	32,788
Net cash used in investing activities	(2,396,154)	(3,013,669)	(416,014)	23,146
Cash Flows from financing activities				
Proceeds from interest - bearing liabilities	1,072,150	4,561,767	32,000	-
Repayment of interest - bearing liabilities	(1,500,385)	(5,560,944)	(66,600)	(117,283)
Dividends paid	(351,140)	(435,213)	(351,140)	(435,213)
Dividend paid to shareholders of non-controlling interest	(245,492)	(11,019)	-	-
Net cash flow (used in) from financing activities	(1,024,867)	(1,445,409)	(385,740)	(552,496)
Net Increase / (Decrease) in cash & cash equivalents	(1,621,563)	(4,417,511)	(378,387)	(207,310)
Cash & cash equivalents at the beginning of the period	1,064,138	3,837,219	426,558	343,447
adjusted for effect of exchange rate change				
Cash & cash equivalents at the end of the period	(557,425)	(580,292)	48,171	136,137
Analysis of cash & cash Equivalents at the end of the period				
Cash at Bank and in hand and short term deposits	1,720,206	1,746,925	59,945	163,976
Bank Overdrafts	(2,277,631)	(2,327,217)	(11,774)	(27,839)
	(557,425)	(580,292)	48,171	136,137

The above figure are provisional and subject to Audit.

Notes to the Interim Financial Statements

1 Segmental Results

1.1 Revenue

	External	Intra Group	GROUP Total 2019 Rs.' 000	GROUP Total 2018 Rs.' 000
<i>For the six months ended 30th September</i>	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000
Sri Lanka Sector				
Resorts and Hotels	1,642,619	2,383	1,645,002	2,431,075
Others	7,421	201,184	208,605	171,590
Total Sri Lanka Sector	1,650,040	203,567	1,853,607	2,602,665
South Asian and Middle East Sector	5,640,392	54,686	5,695,078	5,391,293
	7,290,432	258,253	7,548,685	7,993,958
Intra Group			(258,253)	(216,372)
Total			7,290,432	7,777,586

1.2 Profit/(Loss) before taxation

	GROUP 2019 Rs.' 000	GROUP 2018 Rs.' 000
<i>For the six months ended 30th September</i>		
Sri Lanka Sector		
Resorts and Hotels	(587,117)	(209,010)
Others	52,858	5,421
	(534,259)	(203,589)
Share of Profit of equity accounted investees	(178,480)	(87,794)
Total Sri Lanka Sector	(712,739)	(291,383)
South Asian and Middle East Sector	(164,850)	(87,787)
Total	(877,589)	(379,170)

1.3 Total Assets

	GROUP 2019	GROUP 2018
<i>For the six months ended 30th September</i>		
Sri Lanka Sector		
Resorts and Hotels	19,779,981	21,197,263
Others	261,914	905,769
	20,041,895	22,103,032
Share of equity accounted investees	1,042,258	1,049,312
Total Sri Lanka Sector	21,084,153	23,152,344
South Asian and Middle East Sector	50,786,339	34,762,163
Total	71,870,492	57,914,507

Notes to the Interim Financial Statements

- 2 The Financial statements of the Company and those consolidated with such for the interim period have been prepared on the same accounting policies and methods of computations as in the most recent audited financial statements and are in compliance with LKAS 34-Interim Financial Reporting.
- 3 The accounting policies have been consistently applied by the Group and are consistent with those used in the previous year. The presentation and classification of the financial statements of the previous periods have been amended where relevant to be comparable with those of the current year.
- 4 The company paid a first and final ordinary dividend of Rs. 1.00 per share for the year ended 31st March 2019 on 09th July 2019 after it was approved by the board. Total ordinary dividend payment amounted to Rs. 336,290,010/-.
- 5 There were no material events subsequent to the end of the year which require disclosure in the interim financial statements.
- 6 Five months of the period under review relates to the off season of the tourism industry both in Sri Lanka and overseas, the group operates.
- 7 There were no material change in contingent liability which were disclosed in the Annual Report for the year ended 31st March 2019.
- 8 There was no liability to management fees or any other similar expenditure not provided for in the interim financial statements.
- 9 The offshore headquarter companies in the group, changed their presentation currency from Sri Lankan Rupees (LKR) to United States Dollar (USD) with effect from 1st April 2018 to reflect the companies predominant operating currency in their financial statements. However the impact of this change was accounted during the 3rd quarter 2018/2019. The Group information presented for the quarter ended 30th September 2018 has been adjusted where relevant to reflect the above change.

The presentation and classification of the financial statements of the previous period have been also adjusted where relevant, for better presentation and to be comparable with year end reporting.

10 Assets classified as held for sale

The carrying value of leasehold right of Raafushi Island was classified under "Assets held for sale" during the period under review, consequent to the decision made by Ace Resorts (Pvt) Ltd. to dispose its lease.

11. New accounting standards and interpretations

SLFRS 16 –

SLFRS 16 Leases, replaces the existing leasing guidance, including LKAS 17 Leases, IFRIC 4 Determining whether an arrangement contains a lease, SIC -15 Operating leases – Incentives and SIC-27 Evaluating the Substance of transactions involving the legal form of a lease. SLFRS 16 sets out the principles for the recognition, measurement, presentation and disclosure of leases and requires lessees to account for all leases under a one single balance sheet model similar to the accounting for finance leases under IAS 17.

As prescribed by this standard, the Group recognise an asset (right-of-use asset) representing its right to use the underlying assets and lease liability representing its obligation to make lease payments. Subsequently on an on going basis the Group will be separately recognising the interest expense on the lease liability and the depreciation expense on the right-of-use asset.

Nature of the effect of adoption of SLFRS 16

"The Group has lease contracts for various items such as land, building, vehicles and equipment. Land leases are the major asset included in the right-of-use assets category, typically made up to 99 years of lease term and have extension options. However, the Group has elected not to recognise right-of-use assets and lease liabilities for short-term leases and leases of low-value items. The Group recognises the lease payments associated with these leases as an expense on a straight-line basis over the lease term.

Initial application

The Group initially adopted SLFRS 16 from 01 April 2019 using the modified retrospective approach, under which the cumulative effect of initial application is recognised in retained earnings at the date of initial application (i.e. 01 April 2019). Accordingly the information presented for 2018/2019 has not been restated, i.e. it is presented, as previously reported, under LKAS 17 and related interpretations. Additionally, the disclosure requirements in SLFRS 16 have not generally been applied to comparative information. Additionally, the disclosure requirements in SLFRS 16 have not generally been applied to comparative information.

The following table summarizes the impact, net of tax, of transition to SLFRS 16 - "Leases" as at 01 April 2019.

	Rs.'000
Assets	
Right-of-use assets	8,996,493
Leasehold properties	(2,214,518)
Pre-paid operating leases	(1,114,315)
Investments in equity-accounted investees	(7,690)
Deposits and prepayments	(271,526)
Total Assets	5,388,444
Equity	
Retained earnings	(427,362)
Non-controlling interests	(359,636)
	(786,998)
Liabilities	
Interest bearing liabilities	6,175,442
	6,175,442
Total Equity & Liabilities	5,388,444

Leases previously classified as leasehold properties and pre-paid operating leases

For leases previously classified as leasehold properties and pre-paid operating leases, the Group recognised the carrying amount of the lease asset immediately before transition as the carrying amount of the right-of-use asset. The requirements of SLFRS 16 was applied to these leases from 1st April 2019. Leases previously accounted for as operating leases

Leases previously accounted for as operating leases

The Group recognised right-of-use assets and lease liabilities for those leases previously classified as operating leases, except for short-term leases and leases of low-value assets. The right-of-use assets for most leases were recognised based on the carrying amount as if the standard had always been applied, apart from the use of incremental borrowing rate at the date of initial application. Lease liabilities were recognised based on the present value of the remaining lease payments, discounted using the incremental borrowing rate at the date of initial application.

Impact for the period

As a result of applying SLFRS 16, the Group recognised Rs. 11 million as right-of-use assets and Rs. 8.4 million as lease liabilities as at 30th September 2019 in the statement of financial position. Also, in relation to those leases under SLFRS 16, the Group recognised Rs. 326 million of amortisation charges and Rs. 315 million of interest costs during the six months ended 30th September 2019 instead of operating lease expenses in the income statement. Therefore, the additional impact on the income statement due to the application of this standard for the period under review is Rs. 56 million.

Investor Information

1 Share Information

	30.09.2019	30.09.2018
Market Price per Share		
- Highest	25.00	30.00
- Lowest	21.90	24.00
- Last Traded Price (Rs.)	25.20	25.20
Number of shares represented by the stated capital		
	30.09.2019	30.09.2018
- Ordinary	336,290,010	336,290,010
- Preference	16,500,000	16,500,000

- 2 Percentage of shares held by the public as at 30th September 2019 is 25.40%. Number of public shareholders as at 30th September 2019 was 3,496

- 3 The float adjusted market capitalisation as at 30th September 2019 was Rs. 2,135,150,275/- with reference to the rule no. 7.6 (iv) of the listing rules of the Colombo Stock Exchange. As the float adjusted market capitalisation is less than Rs. 2.5 billion, Aitken Spence Hotel Holdings PLC complies under option 5 with the minimum public holding requirements.
- 4 Shares held by the Directors are as follows:

Name of the Director	Position	No of Shares 30.09.2019	No of Shares 30.09.2018
Deshamanya D.H.S Jayawardena	Chairman	-	-
Dr. M.P. Dissanayake	Managing Director	-	-
Ms. D.S.T Jayawardena	Director	16,000	16,000
Mr. C.M.S Jayawickrama	Director	-	-
Mr. J.M.S Brito	Director	331,021	331,021
Mr. R.N Asirwatham	Director	1,000	1,000
Mr. C.H Gomez	Director	-	-
Mr. N.J. de S. Deva Aditya	Director	-	-
Mr. G.P.J Goonewardena	Director	5,460	5,460
		353,481	353,481

- 5 Twenty Largest Shareholders as at 30th September 2019

Name of the Share Holder	No of Shares	%
Aitken Spence PLC	239,472,667	71.21%
Employees Provident Fund	31,501,601	9.37%
Sri Lanka Insurance Corporation Ltd. - Life Fund	5,518,727	1.64%
Ace Cargo (Pvt) Ltd	4,423,601	1.32%
Aitken Spence Hotel Managements (Pvt) Ltd	3,530,639	1.05%
Aitken Spence Aviation (Pvt) Ltd.	2,604,140	0.77%
Bank of Ceylon	2,547,422	0.76%
J B Cocoshell (Pvt) Ltd	2,460,655	0.73%
Employees Trust Fund Board	2,370,705	0.70%
The Ceylon Guardian Investments Trust PLC	2,245,982	0.67%
National Savings Bank	2,102,133	0.63%
G.C Wickremasinghe	2,082,241	0.62%
Associated Electrical Corporation Ltd	1,500,000	0.45%
Ceylon Investments PLC A/C # 02	1,283,675	0.38%
A.T Wickramasinghe	1,245,004	0.37%
Bank of Ceylon A/C Ceybank Century Growth Fund	1,061,430	0.32%
M.J Fernando	1,000,000	0.30%
K Fernando	991,149	0.29%
Ceylon Investments PLC A/C # 01	985,900	0.29%
Rubber Investment Trust Limited	826,548	0.25%
	309,754,219	92.11%

Corporate Information as at 30.09.2019

Directors

Deshamanya D.H.S Jayawardena	- (Chairman)
Dr. M.P. Dissanayake	- Professor Maritime Studies, Alumini USJ, Norad, JICA, University of Oxford - Business Alumini. Harvard Business School (EEP), Fellow (CIM, ICS, CILT-UK) - (Managing Director)
Ms. D.S.T Jayawardena	
Mr. C.M.S Jayawickrama	- FCMA
Mr. J.M.S Brito	- LLB, FCA, MBA
Mr. R.N Asirwatham	- FCA
Mr. C.H Gomez	
Mr. N.J. de Silva Deva Aditya	- DL, FRSA, MEP
Mr. G.P.J Goonewardena	

Legal Form

A public quoted Company with limited liability
Incorporated in Sri Lanka on 14th March 1978

Company registration Number

PQ 97

Secretaries

Aitken Spence Corporate Finance (Pvt) Ltd
No 315, Vauxhall Street,
Colombo 02,
Sri Lanka.
Tel: (94 11) 2308308
Fax: (94 11) 2308099

Registrars

Central Depository Systems (Pvt) Ltd.
Ground Floor, M & M Centre,
No. 341/5, Kotte Road,
Rajagiriya, Sri Lanka.
Tel: (94 11) 2356456
Fax: (94 11) 2440396

Registered Address

No 315, Vauxhall Street,
Colombo 02,
Sri Lanka.
Tel: (9411) 2308308